

KCB Group 9M20 Earnings Note

KCB Group's 9M20 PAT plummeted 43.2% y/y to KES 10.9B below our expectation of a 9.8% y/y decline in net earnings. The drop was driven by a 242.5% y/y surge in loan loss provisions to KES 20.0B coupled with a 20.1% y/y uptick in operating expenses to KES 32.0B. We maintain our BUY recommendation on KCB Group with a target price of KES 46.17 offering a potential upside of 21.8% on the current price of KES 37.90.

DATE:	**12th November 2020**
Target Price:	**KES 46.17**
Current Price:	**KES 37.90**
Upside:	**21.8%**
52 Week Low:	**KES 30.00**
52 Week High:	**KES 55.50**

Strong double-digit growth in the balance sheet

Deviating from our estimates of a 5.0% y/y growth in loans and advances, the group's loan book grew 18.7% y/y to KES 577.5B. Interest income therefore increased 23.0% y/y to KES 63.3B further boosted by an 83.9% y/y increase in investment in government securities to KES 236.2B.

Asset quality deteriorates

The group has restructured KES 105.0B (18.2% of the loan book) worth of loans with real estate and construction (30.4%), tourism and hotels (15.9%), manufacturing (14.5%), personal loans (13.6%) constituting the largest share of restructures. A slowdown in cash under circulation is expected to see business activity still affected in the short term, which may be further exacerbated by the onset of a second wave of the COVID-19 virus necessitating continued implementation of containment measures. In the period under review, loan loss provisions ballooned 242.5% y/y to KES 20.0B while the NPL ratio surged 690 bps y/y to 15.2%.

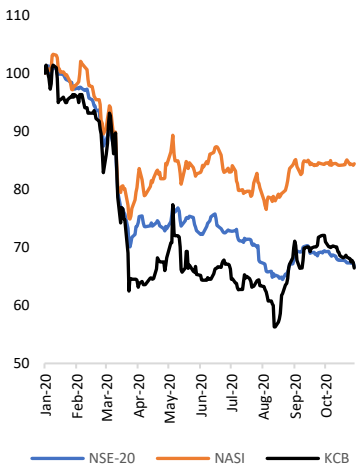
Rising costs dent bottom line

In line with a 31.7% y/y growth in customer deposits to KES 772.7B, interest expense grew 20.8% y/y to KES 15.4B. Operating expenses rose 20.1% y/y to 32.0B driven by 12.8% y/y increase in staff costs.

Outlook

The Group's 9M20 performance was below our expectation with a higher drop in earnings than anticipated. We remain concerned about the growth in operating expenses given the ballooning loan loss provisions that have weighed in on the bottom line. Despite the restructures, the general slowdown in the real estate sector together with low occupancy levels and exposure to SMEs may see provisions rise further towards the end of FY20. The marginal growth in NFI (+1.5% y/y) may see a slowdown in topline growth going forward. The counter is trading at p/e and p/b multiples of 8.4x and 0.9x respectively.

KCB vs Indices



Source: AIB-AXYS Research

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Financial Statements

Income Statement	9M19 KES M	2Q20 KES M	3Q20 KES M	9M20 KES M	chg y/y	chg q/q
Interest Income	51,448	21,175	21,904	63,287	23.0%	3.4%
Interest Expense	12,768	5,160	5,111	15,424	20.8%	-0.9%
Net Interest Income	38,680	16,016	16,793	47,863	23.7%	4.9%
Non Interest Income	20,975	6,067	7,316	21,280	1.5%	20.6%
Total Operating Income	59,654	22,082	24,110	69,143	15.9%	9.2%
Total Operating Expenses	26,638	10,050	10,806	31,987	20.1%	7.5%
Loan Loss Provision Expense	5,843	8,129	8,985	20,012	242.5%	10.5%
Operating Profit	33,016	12,032	25,279	49,131	48.8%	110.1%
Profit Before Tax	27,173	3,903	4,318	17,143	-36.9%	10.7%
Current Tax	8,010	2,587	1,005	6,252	-22.0%	-61.2%
Profit After Tax	19,163	1,316	3,314	10,891	-43.2%	151.9%
EPS (KES)	8.33	0.39	0.99	4.52	-45.7%	151.9%
Balance Sheet						
Total Shareholders' Equity	121,232	132,139	135,945	135,945	12.1%	2.9%
Customer Deposits	586,715	758,241	772,663	772,663	31.7%	1.9%
Total Liabilities	643,103	820,933	836,064	836,064	30.0%	1.8%
Total Equity and Liabilities	764,335	953,072	972,009	972,009	27.2%	2.0%
Government and Other Securities	128,459	208,523	236,247	236,247	83.9%	13.3%
Net Loans and Advances	486,423	559,884	577,505	577,505	18.7%	3.1%
Fixed Assets	11,977	20,239	19,897	19,897	66.1%	-1.7%
Total Assets	764,335	953,072	972,009	972,009	27.2%	2.0%
Key Ratios						
Gross NPL (KES M)	42,583	83,884	96,991	96,991	127.8%	15.6%
NPL Ratio	8.3%	13.7%	15.2%	15.2%		
Cost of risk	1.7%	5.8%	4.8%	4.8%		
Loan to Deposits	82.9%	73.8%	74.7%	74.7%		
Yield on Interest Earning Assets	15.7%	11.0%	10.8%	10.6%		
Cost of Funds	2.8%	2.7%	2.6%	2.7%		
NIM	12.9%	8.3%	8.1%	7.9%		
Non-Funded/Total Income	35.2%	27.5%	30.3%	30.8%		
Cost to Income Ratio	44.7%	45.5%	44.8%	46.3%		
ROE	31.6%	4.0%	9.8%	16.0%		
ROA	5.0%	0.6%	1.4%	2.2%		
Core Capital/TRWA	18.1%	17.9%	17.8%	17.8%		
Total Capital/TRWA	17.8%	19.5%	19.6%	19.6%		
Liquidity Ratio	35.8%	40.0%	38.1%	38.1%		
P/E (x)				8.4		
P/B (x)				0.9		

Source: AIB-AXYS Research, company fillings



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